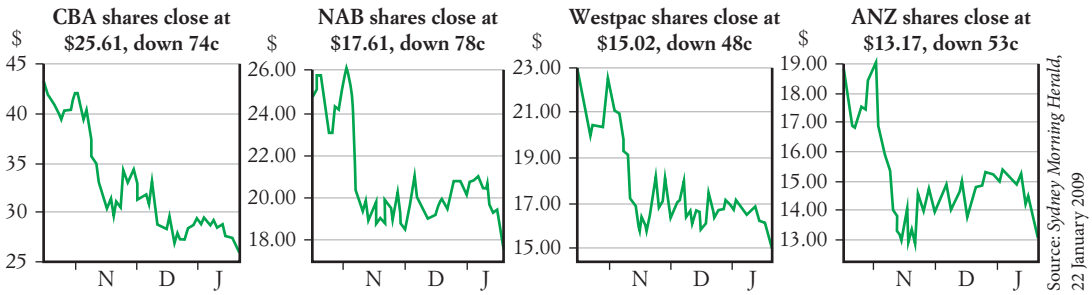
WORKSHEET

Chapter 4: Share graphs

Newspapers use graphs to chart the changing prices of shares over a period of time.

Example

1 These graphs show the movement in the share prices of four banks from mid-October to mid-January.



a What is the highest price paid for NAB shares?

b What is the lowest price reached by CBA shares?

c What was the range of prices of ANZ shares, to the nearest dollar?

d Describe the performance of CBA shares over the period.

e What are two similarities between the four graphs?

f Predict what is likely to happen to the share prices of the four banks in February. Justify your answer.

Solution

a Approximately $26.00

b $25.61 From the title of the graph.

c The range of price of the ANZ shares is approximately $6.50.

d Apart from a couple of small rises, the CBA share price continued its downward trend.

e Some similarities are:

- the share prices for all banks peaked around the beginning of November
- the prices dropped rapidly in the first half of November
- the lowest share price for all banks was in mid-January.

f It looks like the prices may fall even further. This would follow the trend shown on the graphs for November, December and January.

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Questions

Use the graphs of the share prices of the four banks on the previous page to answer the following questions:

1 Find:

a the market price of ANZ in mid-November

b the lowest Westpac price over the period

c the number of months covered by the period

d the number of times the price of ANZ shares rose above $15.00

e the price of NAB shares in mid-January

f an estimate of the price of NAB shares on 1 December.

2 The market value of a share was noted every Friday for 6 weeks. The results are shown in the table below.

Week 1	Week 2	Week 3	Week 4	Week 5	Week 6
$11.25	$14.50	$18.60	$12.36	$13.20	$10.40

a What was the range of share prices?

b Draw a line graph showing the share price in the 6-week period.

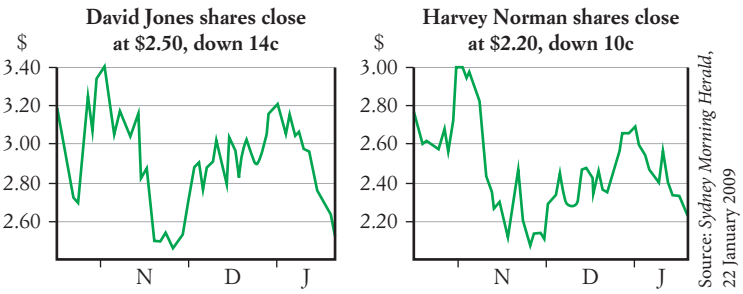
c Describe the trend over the 6 weeks.

d Is it possible to predict what will happen in the next 6 weeks?

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3 These graphs show the performance of the shares of two retailers over a 3-month period.



a What was the highest price for David Jones over this period?

b What was the lowest price for Harvey Norman over this period?

c How many times was the price for David Jones shares $2.60?

d What was the range in price for Harvey Norman shares?

e Describe the performance of David Jones shares in this 3-month period.

f Estimate what the Harvey Norman share prices were on:

i 1 December

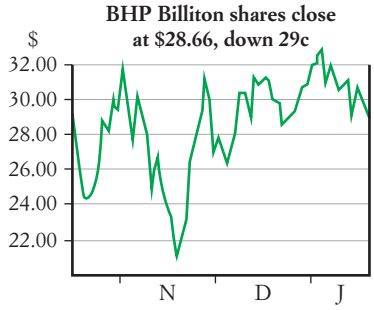
ii 31 October

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g Would January be a good time to buy shares in Harvey Norman? Why?

h If an investor bought shares in David Jones around 4 November, would you suggest selling them in mid-January? Why?

4 The graph on the right shows the performance of BHP Billiton shares over a period.



a How long is the period covered by this graph?

b What was the lowest share price over this period, and in which month did it occur?

c Describe the performance of the BHP Billiton shares over this period.

d How many times did the price reach $26?

e Estimate the value of the shares on 22 December.

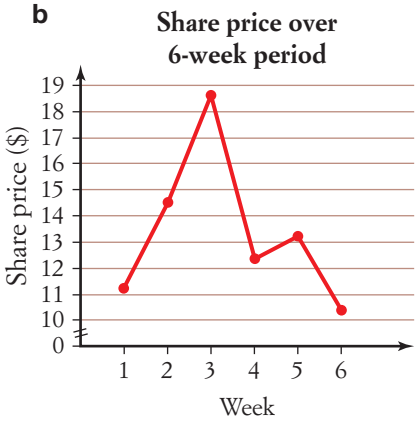
f On 22 October, would it be a good time to buy or sell? Give reasons for your answer.

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Answers

1 a Approximately $14.00
b Approximately $15.00
c 3 months
d 4
e Approximately $17.50
f $18.50

2 a $8.20
b



c Price rose to a high at week 3, then dropped to a low at week 6.
d No

3 a Approximately $3.40
b Approximately $2.10
c 3
d 90 cents
e High at the start of November, then dropped to lowest point towards end of November, rose steadily until end of December, then fell steadily during first half of January.
f i $2.10
ii $3.00
g Yes, price is low.
h No, price is low.

4 a 3 months
b Approximately $21.00 in November
c The general trend was increasing, however there were a few dramatic drops followed by a fairly quick recovery.
d 6
e Approximately $29
f Buy; because share prices were increasing.

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